

INDIAN ECONOMY

LEVEL
II



LECTURES

ISSUES SURROUNDING THE MINIMUM
SUPPORT PRICE (MSP) MECHANISM

MODULE - 58



MINIMUM SUPPORT PRICE MECHANISM FOR 23 CROPS

7 CEREALS

- Paddy
- Wheat
- Maize
- Bajra
- Jowar
- Ragi
- Barley



PADDY

5 PULSES

- Chana,
- Arhar/Tur
- Urad
- Moong and
- Lentil (Masur)



CHANA DAL

7 OIL SEEDS

- Rapeseed-mustard
- Groundnut
- Soybean
- Sunflower
- Seasmum
- Safflower
- Nigerseed



SOYBEAN

4 COMMERCIAL CROPS

- Cotton
- Sugarcane
- Copra
- Raw jute



SUGARCANE

Centre fixes MSPs for every kharif and Rabi cropping seasons, based on the recommendations of CACP.

CLARITY ABOUT MINIMUM SUPPORT PRICE (MSP)

- It is a “minimum price” for any crop that the Government considers as remunerative for farmers and hence, deserving of support.
 - It is also the price that Government agencies pay, whenever, they procure a particular crop. There is no compulsion for the Government to procure at MSP.
 - There is no statutory backing for MSP. We can say that it is a policy or administrative decision.
 - CACP recommends MSPs for 23 crops, for Sugarcane it is known as Fair and Remunerative Price (FRP).
- For Sugarcane, there is some statutory element, because it becomes the legal price, which the mills have to pay at FRP within 14 days.
 - CACP itself is not a statutory body. It is the Attached Office to the Ministry of Agriculture & Farmers Welfare.
 - MSP benefits around 10% of the farmers only, as per various estimates.
 - Around 40 to 45% of the overall crop produced is procured at MSP for Rice, and around 35% for Wheat, Cotton comes third at 30%. However, there are exceptions in some of the years.

THE ISSUE OF SUGARCANE FOR MORE CLARITY!

- 1 The **only crop** where MSP payment has some statutory element is **Sugarcane**.
- 2 This is due to its pricing being governed by the **Sugarcane (Control) Order, 1966** issued under the **Essential Commodities Act**.
- 3 It provides for the fixation of a '**Fair and Remunerative Price**' (FRP) for cane during every **sugar year (October-September)**.
- 4 The Fair and Remunerative Price is payable not by the government.

- 5 The responsibility to make FRP payments to farmers **within 14 days** solely rests with the Sugar mills.





NO MENTION OF MSP IN ANY OF THE RECENT CONTROVERSIAL FARM ACTS!

- Minimum Support Price (MSP) was not part of any law before nor is it part of any law today, said the Agriculture Minister.
- Hence, it has no legal backing. It is not an entitlement for farmers, they cannot demand it as a matter of right.
- The Minimum Support Price is now fixed by taking a minimum of $A2+FL+50\%$. Centre fixes MSPs for every Kharif and Rabi cropping seasons, based on the recommendations of CACP.
- The Government buys Wheat and Paddy at their MSPs, but it arises because of both political compulsion and need to supply the PDS food grain requirements.

CACP IS ONLY A RECOMMENDATORY BODY!

- CACP itself is not a statutory body set up through an Act of Parliament. It came into existence in 1965.
- MSPs are being announced since the time of the Green Revolution, starting with wheat in 1966-67.
- It can recommend MSPs, but the decision on fixing and enforcement rests finally with the government.
- The government can procure at the MSPs if it wants to. There is no legal compulsion nor can it force others to pay at MSP.



WHAT DO YOU UNDERSTAND BY A2 / A2+FL / C2?

A2

It covers all cash and in kind expenses incurred by the farmers on seeds, fertilizers, chemicals, hired labour, fuel, irrigation etc.

A2+FL

Actual costs i.e., A2 plus an imputed value of unpaid family labour.



C2

It includes 'A2+FL' along with revenue forgone on owned land (rent) and fixed capital assets (interest).



The Minimum Support Price is now fixed by taking a minimum of A2+FL+50%.



Commission for Agricultural Costs & Prices
Ministry of Agriculture & Farmers Welfare, Government of India

MINIMUM SUPPORT PRICE

1

SEVEN CEREAL CROPS



PADDY



WHEAT



MAIZE



RAGI



SORGHUM



PEARL MILLET



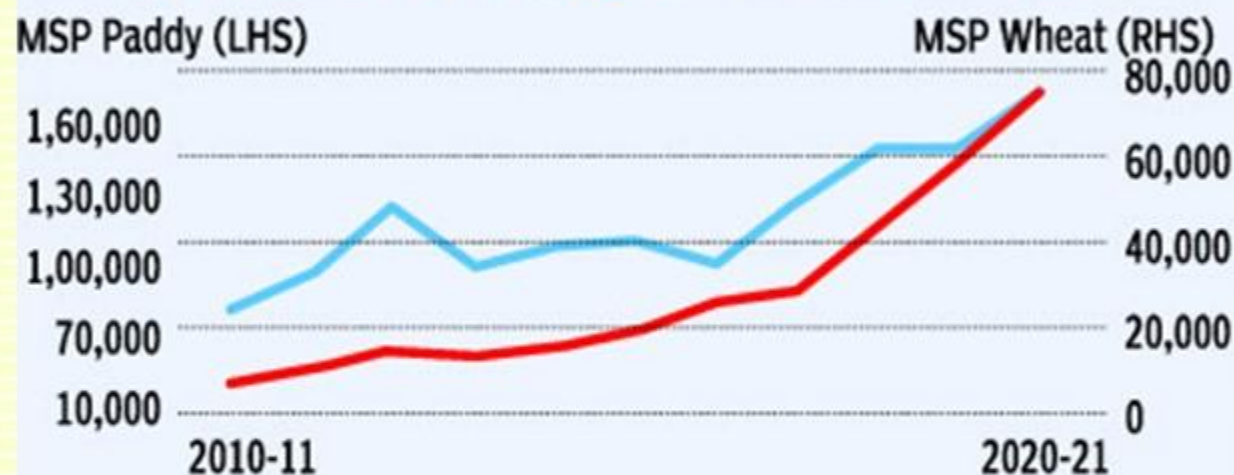
BARLEY

Basic idea of MSP in 1960s was to give incentives to the farmers to grow more food grains. Without incentives, the farmers would not opt for cultivation of wheat and paddy, which were labor intensive. Introduction of MSP, along with other measures, made India self-reliant in food grains production!



PROCUREMENT OF RICE & WHEAT AT MSP HAS SEEN SIGNIFICANT INCREASE!

MSP purchases of agri commodities (crore)



PROCUREMENT OF RICE AND WHEAT AT MSP

PADDY

2020-21	Rs. 1,72,752 Cr
	
2011-12	Rs. 58,084 Cr

197%

WHEAT

2020-21	Rs. 75,059 Cr
	
2011-12	Rs. 33,152 Cr

126%



2

FIVE PULSES



GRAM



TUR DAL



LENTIL



MOONG DAL



URAD DAL

PROCUREMENT AT MSP

2019-20

Rs. 8,284 Cr



2012-13

Rs. 407 Cr

1935%





GROUNDNUT



RAPeseed-MUSTARD



SOYBEAN



NIGER SEED



SESAMUM



SUNFLOWER



SAFFLOWER





4

FOUR COMMERCIAL CROPS



COPRA



SUGARCANE



COTTON



RAW JUTE

PROCUREMENT AT MSP

COTTON

2019-20	Rs. 28,500 Cr
	↑ 494%
2012-13	Rs. 4,797 Cr

JUTE

2019-20	Rs. 56 Cr
	↑ -60%
2012-13	Rs. 140 Cr

THE DEMAND FOR LEGAL ENTITLEMENT FOR MSP IS UNTENABLE AND NOT WORTH OF EVEN CONSIDERATION!

1 ADDITIONAL BURDEN ON THE GOVERNMENT

- Legal sanctity for procurement of the entire produce requires the government to spend lakhs of crores of rupees during the coming decade.
- As a matter of fact, the MSP value of production of the entire produce comes to more than Rs. 10 lakh crore.
- The government is required to pay deficiency payment for the entire produce. If we assume 20% as the deficiency payment, it comes to more than Rs. 2 lakh crore annually.

2 SHIFT TOWARDS CROPS WITH MSP COVERAGE

- The legal entitlement to MSP poses a serious problem of shift towards the crops covered under MSP, moving away from non-MSP crops.
- It puts the entire agriculture sector in the reversal mode as the farmers may shift away from fruits and vegetables.

The country may ultimately face the problem of serious shortages for some commodities and there may be inevitable demands for extending MSP to other crops!

THE DEMAND FOR LEGAL ENTITLEMENT FOR MSP IS UNTENABLE AND NOT WORTH OF EVEN CONSIDERATION!

3 ISSUES WITH WTO

- MSP payments already being questioned under the WTO rules on subsidies.
- A temporary peace clause on public stock holding for food security has so far protected India from retaliatory actions by its trading partners.
- The peace clause cannot provide a cover against the deficiency payments, since several crops have nothing to do with the stockpiling for food security.

4 LARGE AND BETTER OFF FARMERS WOULD BE BENEFITTED!

- If this is implemented, the ultimate benefit will go to the large and well-off farmers.
- As per the Situation Assessment Survey, the agricultural households are only 54% of the total rural households in 2018-19.
- Massive transfers under MSP would bypass not just the urban poor, but also the landless rural poor.

Whatever way we look at, it is unwise, unworthy and untenable proposal!

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299